

HONG KONG EXAMINATIONS AND ASSESSMENT AUTHORITY
HONG KONG DIPLOMA OF SECONDARY EDUCATION EXAMINATION 2017

ECONOMICS PAPER 1

8.30 am – 9.30 am (1 hour)

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words 'END OF PAPER' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong marks can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. The operator of a canteen in the government headquarters decides to sell sushi and not burgers anymore because the former can earn a higher profit. This is an example of using _____ to solve the problem of _____.
 - A. government command 'what to produce'
 - B. government command 'for whom to produce'
 - C. market mechanism 'what to produce'
 - D. market mechanism 'for whom to produce'

2. Which of the following statements about interest is correct?
 - A. Without money, interest does not exist.
 - B. Without inflation, interest does not exist.
 - C. Without scarcity, interest does not exist.
 - D. Interest is the compensation paid to the borrower for delayed consumption.

3. A public good
 - A. is a good with zero marginal cost of production.
 - B. can only be provided by the government.
 - C. cannot be protected by private property rights.
 - D. allows concurrent consumption by many individuals.

4. Which of the following would be the loss(es) of delaying the completion of a new railway to an economy?
 - (1) the travel time of passengers that would have been saved by the new railway during the period of delay
 - (2) the damage to the corporate image of the railway constructor for the delay
 - (3) the nuisance to the shops and residents nearby during the period of delay
 - A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1), (2) and (3)

5. Alan and his partners turned their partnership into a private limited company. After the change, the firm will
 - A. have more capital for development.
 - B. have a lower average production cost.
 - C. enjoy a lower profits tax rate.
 - D. have a separate legal entity.

6. The government launched the Silver Bond for Hong Kong residents aged 65 or above. Bondholders will be paid interest at a rate linked to inflation in Hong Kong, subject to a minimum rate of 2% per year. Bondholders may sell their bonds at original price to the government before maturity.

Which of the following statements about the Silver Bond is/are correct?

- (1) The risk of holding the Silver Bond is lower than that of the shares of a listed company.
(2) The return of the Silver Bond would increase during inflation while the return of the shares of a listed company would not.
(3) The interest received by Silver Bond holders is higher than the dividend received by the shareholders of a listed company.
- A. (1) only
B. (2) only
C. (3) only
D. (1), (2) and (3)
7. Certain restaurants in China found that they can introduce robots to replace some workers in serving customers without reducing their output. This will
- A. increase the quantity supplied of restaurant workers.
B. increase the labour productivity of those restaurants.
C. decrease the geographical mobility of restaurant workers.
D. decrease the occupational mobility of restaurant workers.
8. The following table shows the cost-output relationship of a price-taker.

Output (units)	Average cost (\$)
5	10
6	11
7	12
8	13
9	14

The market price is \$20. Suppose the average cost has increased by \$2 for every unit of output. The profit of the firm will _____.

- A. increase by \$16
B. increase by \$14
C. decrease by \$16
D. decrease by \$14
9. Giordano International Limited is a retailer of casual wear. It has launched the Giordano Ladies, which provides luxury clothes and suits for ladies. It is an example of _____ expansion.
- A. horizontal
B. vertical
C. lateral
D. conglomerate

10. An art centre extends its business hours for one hour in order to offer more painting classes. Which of the following are variable costs involved in the extra hour of operation?

- (1) salary of the accountant
 - (2) electricity fee
 - (3) expense on paints
 - (4) rental payment
- A. (1) and (4) only
 - B. (2) and (3) only
 - C. (1), (2) and (4) only
 - D. (1), (2), (3) and (4)

11. The input-output relationship of a firm is as follows:

	Year 1	Year 2
Number of workers	30	35
Number of working hours per worker per day	10	8
Quantity of output (units)	3 000	2 900

Based on the above information, labour supply _____ and average labour productivity _____.

- A. rises rises
 - B. rises falls
 - C. falls rises
 - D. falls falls
12. A famous artist, Tsz-Wah, held a show. Many people complained that they could not buy a ticket. Ticket touts resold the tickets on the Internet and some buyers paid a price higher than HK\$10 000 for a ticket.

The above case illustrates the _____ function of price because _____.

- A. rationing the tickets are rationed to the highest-valued buyers
 - B. rationing demand will be reduced by a higher price
 - C. allocative more profits can be earned with a higher price
 - D. allocative more resources should be allocated to the producer to raise the supply
13. Which of the following is **INCONSISTENT** with the law of demand?
- A. The abolishment of per unit import tariff on garment results in a rise in the quality of imported garments.
 - B. Live fishes sold in a market near the fish farm have a higher price than frozen fishes sold in a faraway market.
 - C. The ratio of high-quality white wine sold to total white wine sold remains unchanged when the government imposes an ad valorem tax on white wine.
 - D. Developers tend to build higher-quality housing units on a piece of land with a good view.

14. Which of the following situations would most likely lead to an increase in the demand for iPhone produced by Apple Inc.?

A. A technological breakthrough in the battery industry reduces its production cost.
B. People expect the next model of iPhone will have more innovative features.
C. A model of Samsung smartphone is banned by many airlines.
D. Apple Inc. reduces the selling price of iPhone.

15. Refer to the following conversation between Mandy and Shirley.

Mandy: I like coffee very much! No matter how its price changes, I always buy the same amount of coffee every week!
Shirley: I like coffee very much too! No matter how its price changes, I always spend the same amount of money on coffee every week!

Based on their conversation, Mandy's demand for coffee is _____ and Shirley's demand for coffee is _____.

A. perfectly inelastic perfectly inelastic
B. perfectly inelastic unitarily elastic
C. unitarily elastic perfectly inelastic
D. unitarily elastic unitarily elastic

16. Refer to the following supply and demand schedules for Good X.

Unit price (\$)	6	7	8	9	10	11	12	13
Quantity demanded	140	130	120	110	100	90	80	70
Quantity supplied	60	70	80	90	100	110	120	130

If the government imposed a \$2 per unit tax on Good X,

A. sellers' revenue net of tax would become \$990.
B. tax burden borne by the sellers would be \$90.
C. the total tax revenue would be \$200.
D. buyers' total expenditure on Good X would decrease by \$40.

17. Suppose Good Y is an inferior good. When people's income rises and the production cost of Good Y increases, the equilibrium price of Good Y _____.

A. will increase
B. will decrease
C. will remain unchanged
D. may increase or decrease

18. Suppose the government imposed an effective rent control on living units. Which of the following would LEAST likely occur?

A. There would be a shortage of living units.
B. Black market would emerge.
C. Poor people would be able to rent a living unit more easily.
D. Landlords would have a lower incentive to renovate their living units for rent.

19. Which of the following statements about monopolistic competition are correct?

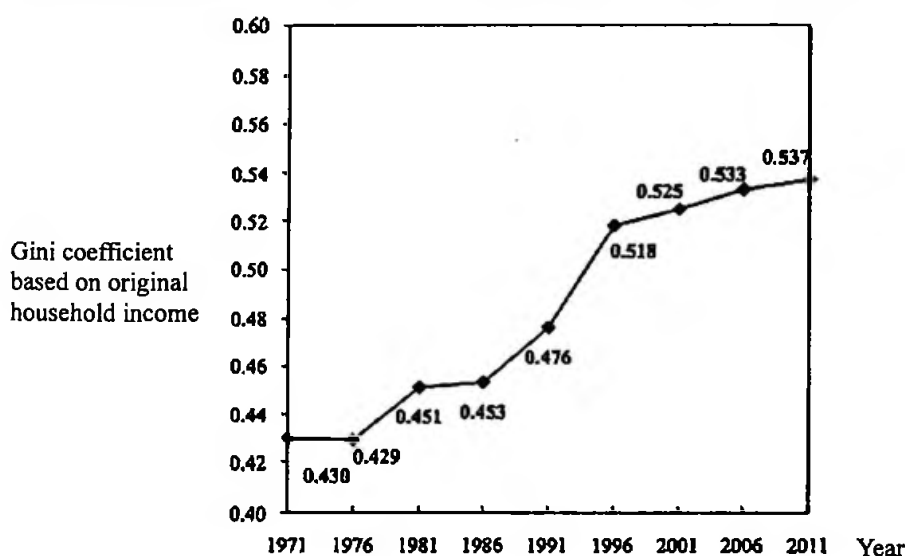
- (1) There can be a few or many buyers and sellers in the market.
- (2) The sellers are price searchers.
- (3) The goods and services provided by the sellers are homogeneous.
- (4) There are free entry and exit in the market.

- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

20. Li Ka Shing Foundation gave HK\$5 000 to each 2017 HKDSE candidate living in those remote districts with lower average household income. Which of the following statements about this unconditional gift is correct?

- A. It reduces the income inequality as a larger portion of the receivers of the gift are from lower income group.
- B. It increases the income inequality as it is unfair to the candidates living in the non-remote districts.
- C. As the money is given to all candidates living in those remote districts, income distribution remains unchanged.
- D. It helps equalising opportunities as those candidates will study harder to improve their exam results.

21. The following diagram shows the Gini coefficient of Hong Kong based on original household income.



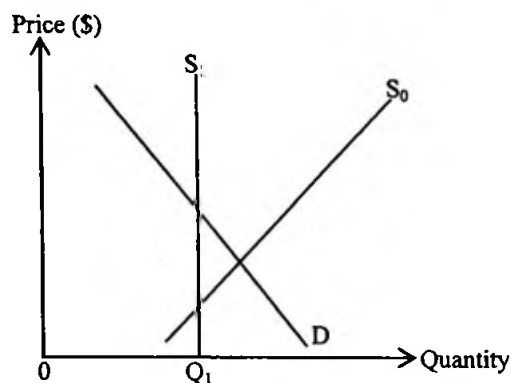
Based on the above diagram, we can conclude that

- A. the income level of Hong Kong people increased.
- B. income for high income household increased while income for low income household decreased.
- C. the welfare policy failed to reduce the income inequality.
- D. income gap had been widening.

22. The Work Incentive Transport Subsidy Scheme helps low-income earners reduce their cost of travelling to and from work and encourages them to get a job. Workers meeting certain criteria, such as monthly income and asset limits, are eligible to get the subsidy.

Which of the following would likely occur after the implementation of this scheme?

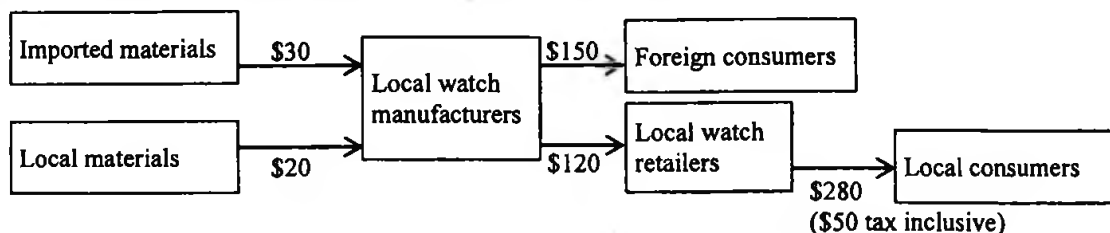
- (1) Labour supply would increase.
 - (2) Labour productivity would increase.
 - (3) Geographical mobility of labour would increase.
 - (4) Income inequality would decrease.
- A. (1) and (2) only
 - B. (3) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only
23. If the government raises the effective price floor on Good X and at the same time the price of its substitute increases, the consumer surplus in the market of Good X _____.
- A. will increase
 - B. will decrease
 - C. will remain unchanged
 - D. may increase or decrease
24. Refer to the following supply-demand diagram of a good with a quota set at Q_1 by the government.



Which of the following will be the results of a reduction in quota on the good?

- (1) The total expenditure on the good may increase.
 - (2) The consumer surplus will decrease.
 - (3) The total social surplus may increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

25. The following diagram shows a production chain of watches in an economy:



The contribution of the local watch manufacturers to the economy's GDP at market prices is _____.

- A. \$220
 - B. \$240
 - C. \$350
 - D. \$400
26. The following table shows some data of an economy.

	Growth rate	
	2015	2016
GDP	-3%	-2%
Price level	1%	0%
Population	4%	2%

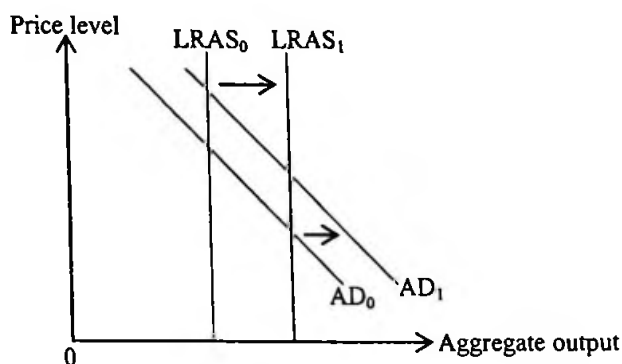
Which of the following statements about the economy is correct?

- A. Real GDP in 2016 decreases.
 - B. Per capita GDP in 2016 increases.
 - C. The price level in 2016 decreases.
 - D. The growth rate of real GDP in 2016 is lower than that in 2015.
27. The government launches 'Admission Scheme for the Second Generation of Chinese Hong Kong Permanent Residents' (輸入中國籍香港永久性居民第二代計劃) in order to meet the challenge of ageing population and declining workforce.

If some second-generation of Hong Kong permanent residents returned to Hong Kong to fill up the posts which have been vacant for a long time, Hong Kong's labour force would _____ and the unemployment rate would _____.

- A. rise remain unchanged
 - B. rise fall
 - C. fall remain unchanged
 - D. fall fall
28. The aggregate demand curve of Hong Kong will shift to the left if
- A. the implicit GDP deflator rises continuously.
 - B. the government raises the retirement age of all civil servants.
 - C. the number of tourists from the Mainland decreases.
 - D. the Mainland stock market booms.

29.



The diagram above shows the aggregate demand curves and long run aggregate supply curves of an economy. Which of the following best explains the above changes?

- A. a decrease in people's desire to save
 - B. an enhancement in production technology
 - C. an increase in national income of the economy's trading partners
 - D. an increase in government subsidy on private research and development
30. Electronic payment systems allow customers to pay without cash. ApplePay, Visa payWave and MasterCard paypass are some of the examples.



When more shops accept these electronic payment systems as a method of payment,

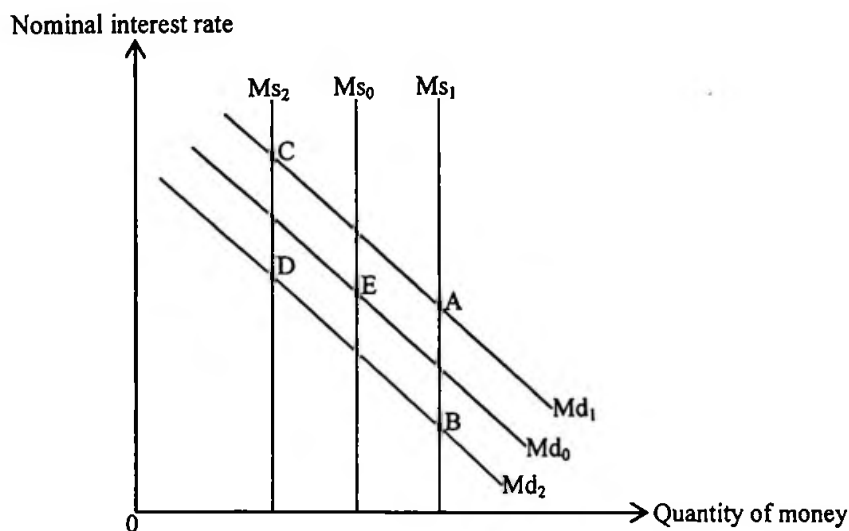
- (1) their cost of handling coins and notes will fall.
 - (2) the actual banking multiplier may increase.
 - (3) transactions demand for money will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
31. The following table shows the balance sheet of a banking system.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	900
Loans	600		

Suppose the public does not hold cash and the required reserve ratio is reduced to 25%. After deposit creation, the amount of loans in the banking system is \$750. Which of the following statements about the banking system is correct?

- A. The money supply increases by \$300.
- B. The actual banking multiplier is 3.5.
- C. The deposits increase by \$600.
- D. Bank reserves are \$450.

32. The diagram below shows the money demand and supply curves of an economy. The original equilibrium point is at E.



Suppose the risk of holding interest bearing assets (such as bonds) increases and the central bank reduces the discount rate. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

33. Refer to the following data about Hong Kong's money supply.

Components	\$ billion
Total issue of legal tender	300
Legal tender held by all authorised institutions	80
Demand deposits	100
All types of deposits with licensed banks and negotiable certificates of deposit issued by licensed banks (other than those held by authorised institutions)	3 000

The money supply M2 is _____.

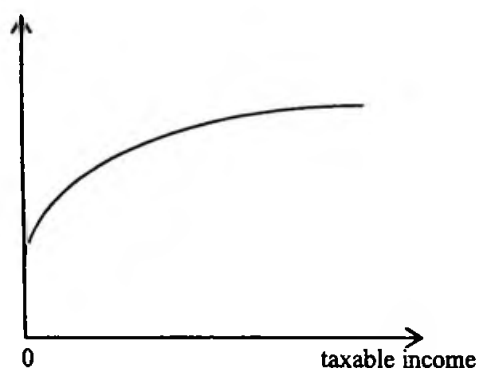
- A. \$320 billion
- B. \$3 180 billion
- C. \$3 220 billion
- D. \$3 300 billion

34. When there is unexpected inflation, which of the following individual(s) will lose?

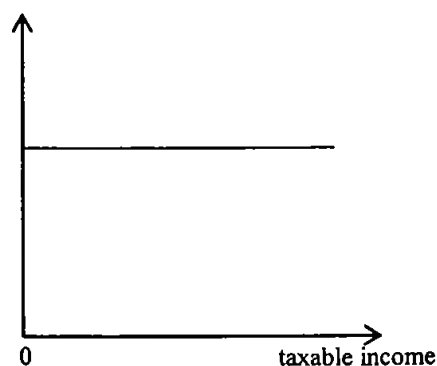
- A. A firm owner paying his workers a fixed wage
- B. A flat owner charging a rental with adjustment according to the change in price level
- C. A retired civil servant receiving a fixed monthly pension
- D. All of the above individuals will lose because the purchasing power of money will be lower.

35. Which of the following diagrams describe a regressive tax?

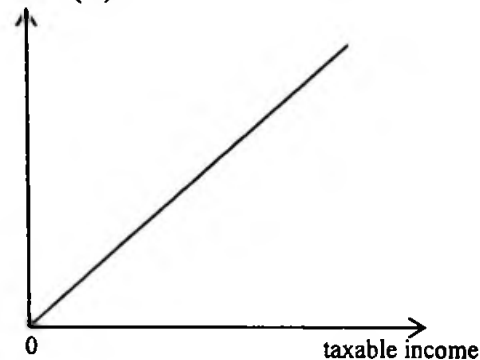
(1) tax payment (\$)



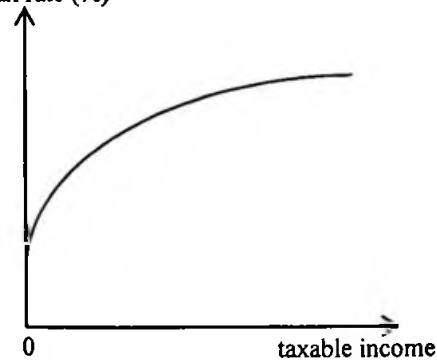
(2) tax payment (\$)



(3) tax rate (%)



(4) tax rate (%)



- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

36. According to the quantity theory of money, if a central bank increases money supply,

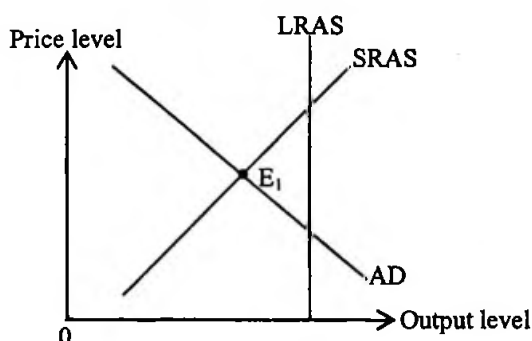
- A. the price level will increase.
- B. real output will remain constant.
- C. nominal output will increase.
- D. the unemployment rate will decrease.

37. Which of the following policies would most likely lead to a drop in aggregate output?
- The government bought bonds from the public and raised the tax allowance at the same time.
 - The government sold bonds to the public and reduced transfer payment to the poor at the same time.
 - The government reduced required reserve ratio and raised the progressivity of income tax at the same time.
 - The government increased the discount rate and lowered profits tax rate at the same time.

38. To reduce fiscal deficits, the government may adopt either contractionary fiscal policy (e.g. increase taxes and/or decrease fiscal spending) or expansionary monetary policy (e.g. finance the deficits by printing money).

Refer to a situation of an upward-sloping short run aggregate supply curve. Which of the following are the advantages of using expansionary monetary policy over contractionary fiscal policy to reduce fiscal deficits?

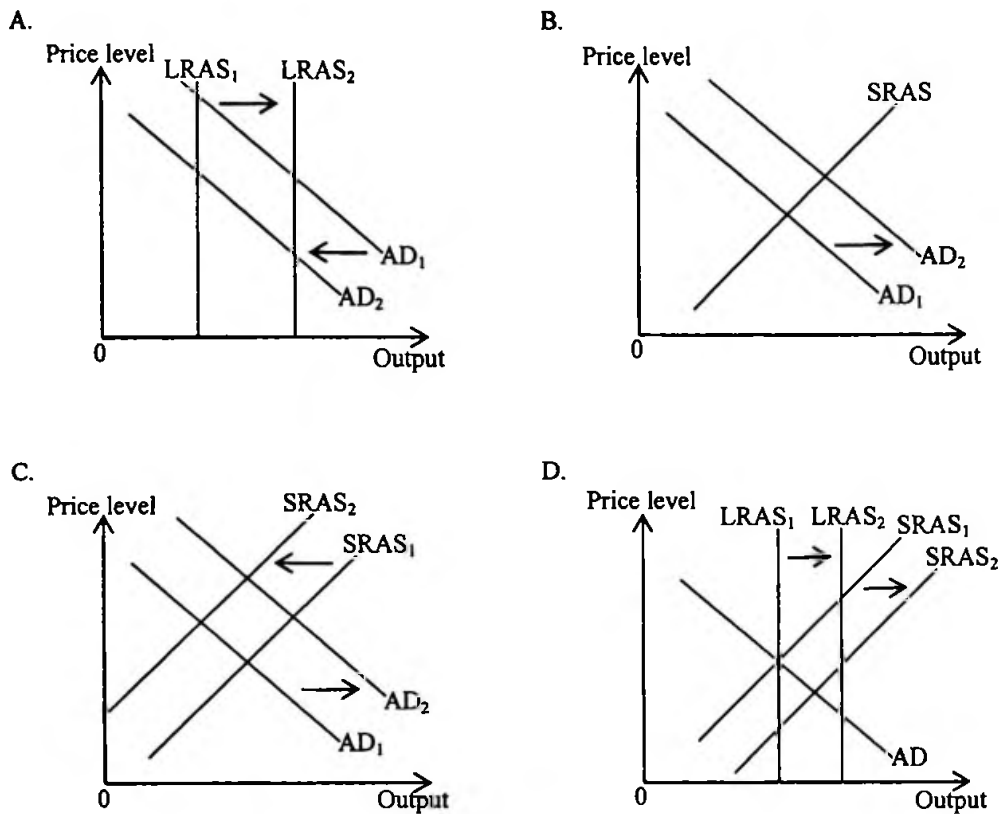
- The employment level will be higher.
 - The purchasing power of money will be higher.
 - The real output level will be higher.
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
39. The diagram below shows the aggregate demand curve, the short run aggregate supply curve and the long run aggregate supply curve of an economy.



Suppose the economy initially operates at E_1 and the total import value equals total export value. If the government decreases the social security assistance to the elderly, in short run, the deflationary (output) gap will be _____ and there will be a _____.

- narrower trade surplus
- wider trade deficit
- narrower trade deficit
- wider trade surplus

40. In his 2016-17 Budget, the Financial Secretary proposed to waive business registration fees for 2016-17. At the same time, the personal basic tax allowance was raised from \$120 000 to \$132 000. Which of the following best illustrates the effect of the above changes on the price and output levels?



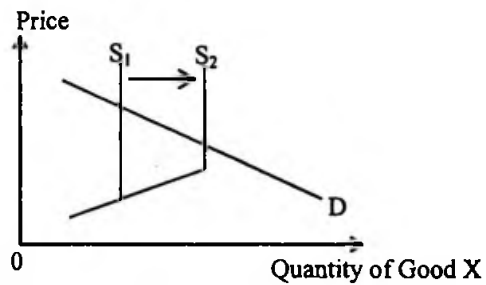
41. Which of the following transactions will be included in the calculation of the balance of payments of Hong Kong?

- (1) A Mainland resident who owns an apartment in Hong Kong receives rental payment from his tenant.
- (2) A Japanese resident sells the shares of a Hong Kong firm to a Korean resident.
- (3) A Hong Kong resident buys an air ticket to London from a Hong Kong based airline.
- (4) An Indonesian who works in Hong Kong as a domestic helper remits money to her husband who lives in Indonesia.

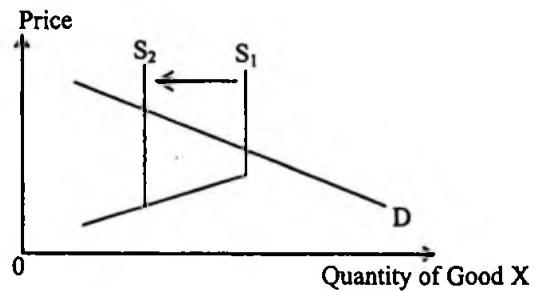
- A. (1) and (3) only
 B. (1) and (4) only
 C. (2) and (3) only
 D. (2) and (4) only

42. A small open economy increases the import quota for Good X. Which of the following diagrams best illustrates the effect of this change?

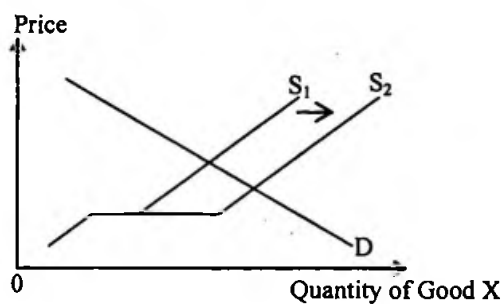
A.



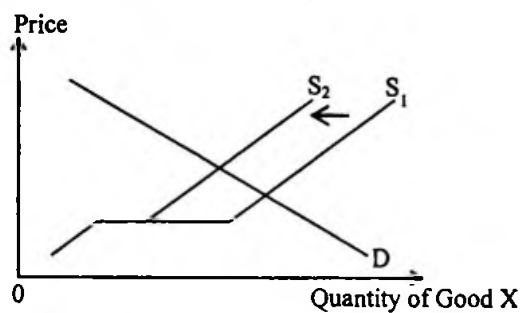
B.



C.



D.



43. The following table shows the number of man-hours required by Country A and Country B in the production of toys and watches.

	1 unit of toys	1 unit of watches
Country A	4	8
Country B	5	20

Suppose the transportation cost for 1 unit of toys is 0.1 units of watches and it is borne by the exporting country. Which of the following would be a mutually beneficial terms of trade between Country A and Country B?

- A. 1 unit of toys = 0.3 units of watches
- B. 1 unit of toys = 0.4 units of watches
- C. 1 unit of toys = 2.5 units of watches
- D. 1 unit of toys = 6 units of watches

44.

Date	Exchange rates
22 November 2015	US\$1 = RMB¥6.39
22 November 2016	US\$1 = RMB¥6.89

The above change in the exchange rate between the US Dollar and the Renminbi would lead to

- (1) a decrease in the number of Chinese tourists to the US.
- (2) a decrease in the competitiveness of US exports to China.
- (3) an increase in the total value of US exports to China (in terms of the US Dollar).

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

45. Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The non-bank public can sell their Hong Kong dollars to the Hong Kong Monetary Authority in exchange for US dollars at any time.
- B. It enables the Hong Kong Monetary Authority to carry out an expansionary monetary policy to stimulate private investment.
- C. The market exchange rate of the US Dollar against the HK Dollar is fixed at US\$1 = HK\$7.8.
- D. There would be a downward pressure on the consumer price indices of Hong Kong when the Renminbi continuously depreciates against the US Dollar.

END OF PAPER

Sources of materials used in this paper will be acknowledged in the booklet *HKDSE Question Papers* published by the Hong Kong Examinations and Assessment Authority at a later stage.

ECONOMICS PAPER 2
Question-Answer Book

10.15 am – 12.30 pm (2 hours 15 minutes)
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9 and 11.
- (2) This paper consists of three sections, A, B and C. Answer ALL questions in sections A and B. Attempt any ONE question in section C.
- (3) Write your answers in the spaces provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the 'Time is up' announcement.

Please stick the barcode label here.

Candidate Number

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--



Answers written in the margins will not be marked.

- First option: to work in a firm located in South Korea
Second option: to switch to a local firm without overtime work
Third option: to stay in the current firm

Answers written in the margins will not be marked.

- [illegible]

- Answers written in the margins will not be marked.

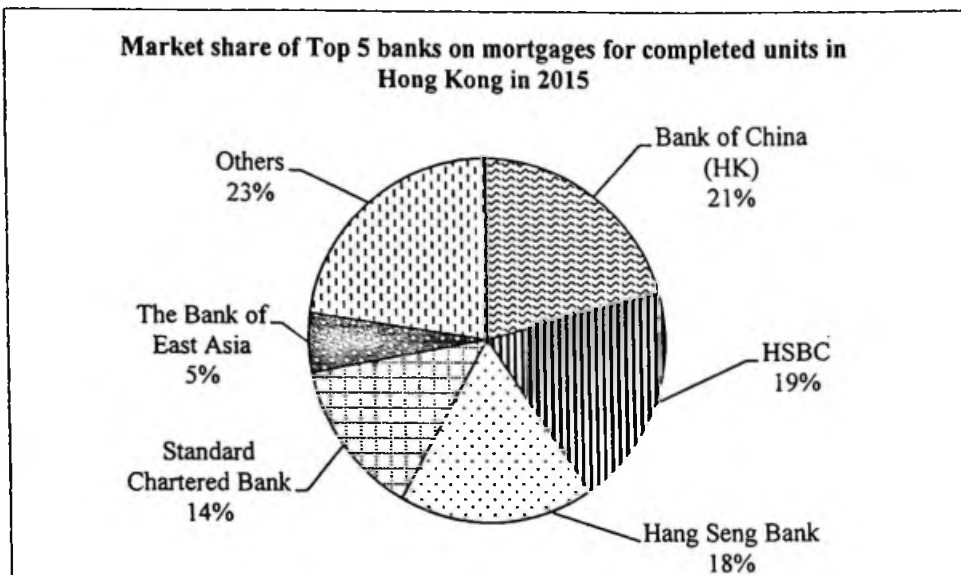
Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

3. Refer to the following chart.



What was the market structure of the above market in 2015? List **TWO** features of this market structure.

(3 marks)

4. Pokémon Go is a popular game for which gamers need to move around different places with their smartphones to catch the cyber-pets. Its developer has placed hotspots in different areas where many gamers are attracted to gather. Some restaurants in remote areas found their business sharply increased as they are located near these hotspots.

- (a) Based on the above information, explain, in terms of externality, how the placing of the hotspots may result in inefficiency. (3 marks)
- (b) How may such a problem of inefficiency be relieved by market? (2 marks)

Answers written in the margins will not be marked.

Please stick the barcode label here.

Answers written in the margins will not be marked.

5. Due to political instability, the currency of a country depreciates sharply and becomes highly volatile. Which **TWO** functions of money may be weakened? Explain. (4 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

-
- This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

- | | Food (units) | Computer (units) |
|-----------|--------------|------------------|
| Country A | 100 | 50 |
| Country B | 100 | 100 |

- Answers written in the margins will not be marked.**

Please stick the barcode label here.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

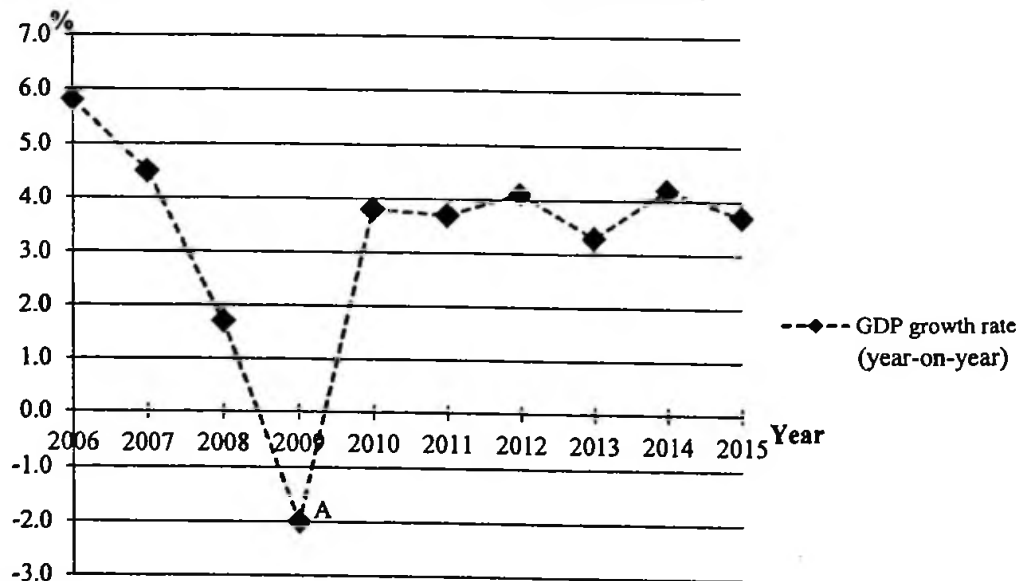
8. The following table shows the balance sheet of a banking system which has excess reserves of \$250.

Assets (\$)		Liabilities (\$)	
Reserves	1 000	Deposits	3 000
Loans	2 000		

- (a) Find the required reserve ratio. (1 mark)
- (b) Suppose the banks lend out all excess reserves and the public does not hold cash. Calculate the change in deposits after credit creation. Show your working. (2 marks)

9. Figures 1 and 2 show some macroeconomic data of the US.

Figure 1: GDP growth rate of the US

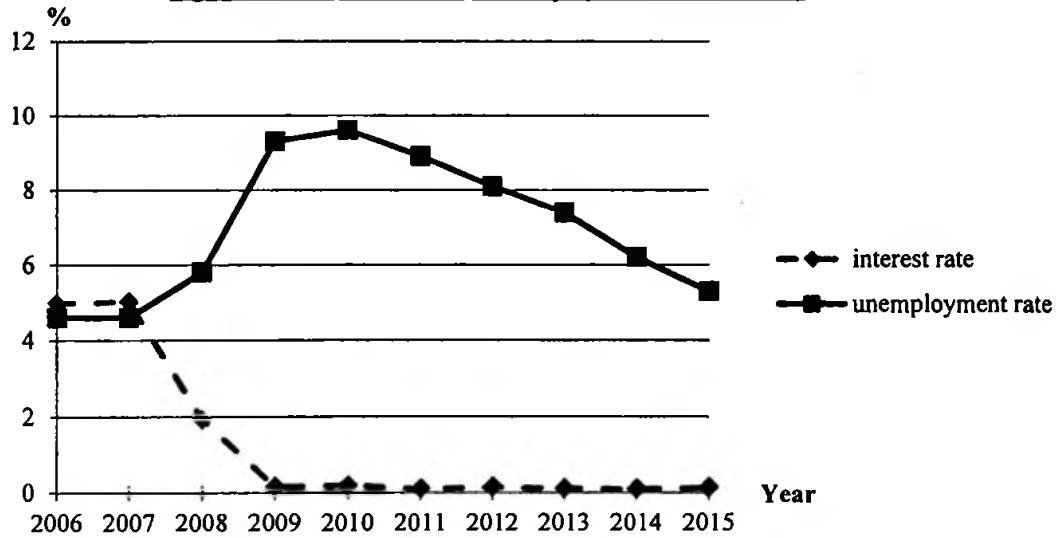


- (a) Refer to Figure 1. Identify the phase of business cycle which point A is in. (1 mark)
- (b) How may a reduction in interest rate help the US economy in 2009? Without using a diagram, explain your answer in the light of aggregate supply and/or aggregate demand. (3 marks)

Answers written in the margins will not be marked.

Please stick the barcode label here.

Figure 2: The interest rate and unemployment rate of the US



- (c) Discuss whether the data in Figures 1 and 2 are consistent with your answer in (b). (4 marks)
- (d) Suggest ONE policy that will help increase the aggregate output in the long run. Briefly explain your answer. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF SECTION A

Answers written in the margins will not be marked.

Section B (54 marks)

10. MTR Corporation Limited (stock code: 66) provides railway services in Hong Kong.

- (a) MTR is a listed company. State **TWO** differences between such an ownership and a private limited company. (2 marks)
- (b) Some politicians suggest that the government should buy back the shares of MTR so that the company would become wholly owned by the government. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)
- (c) Based on Table 1, can we conclude that 'the increase in total revenue is a result of inelastic demand for the local services of MTR'? Explain your answer with the aid of a diagram. (7 marks)

Table 1: Business information about the local services of MTR

Year	Fare Adjustment Rate	Total Passengers Boarding (in million)	Total Revenue (HK\$ million)
2012	+5.4%	1 431	14 523
2013	+2.7%	1 475	15 166
2014	+3.6%	1 548	16 223

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

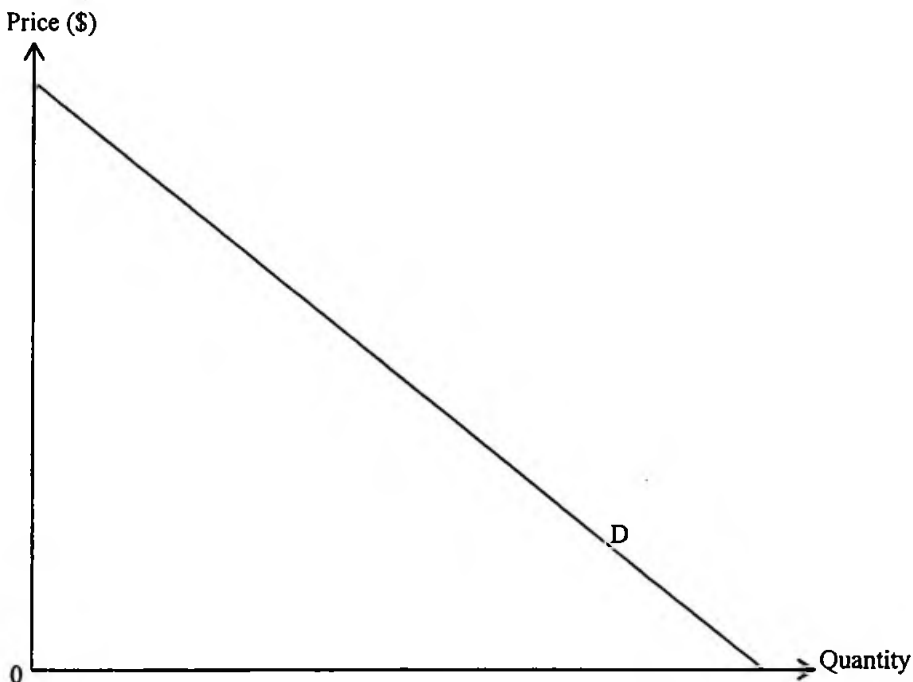
Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

11. The government of Country X introduces a per-unit subsidy to the education services of private universities.

- Under what condition would the students enjoy a larger share of subsidy benefit than the private universities? Illustrate your answer with the aid of Figure 3. (7 marks)
- 'The subsidy causes inefficiency even though both students and universities benefit.' Defend the statement by comparing the marginal cost and marginal benefit in Figure 3. (3 marks)
- Explain whether subsidising education can help improve equality. (3 marks)

Figure 3



Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

- | | |
|--|--|
| <p><i>British politicians:</i>
Low-skilled EU workers should be required to apply for a visa to work in Britain.</p> | <p><i>British firm owners:</i>
The new visa requirement for EU workers affects most of the firms in the British economy.</p> |
| <p><i>Global investors:</i>
Political uncertainty in Britain increases the risk of investment projects there.</p> | <p><i>EU officials:</i>
British citizens may require a visa to visit or to work in the EU countries.</p> |

- (a) Referring to the view of the *British politicians*, explain how labour mobility of the low-skilled workers from the EU would be affected. (3 marks)
- (b) Referring to the views of the *British firm owners* and *global investors*, discuss the effect of Brexit on the aggregate output of Britain in the short run with the aid of a diagram. (8 marks)
- (c) Referring to the view of the *EU officials*, which **TWO** components of current account in the balance of payments of Britain may be affected? Explain your answer. (4 marks)

32

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

13. To cope with the problem of a rapidly aging population in Hong Kong, the government has proposed a retirement protection scheme under which eligible elderly would receive \$38 760 per year.

(a) Mr. Chan, a street sleeper, is eligible to receive \$38 760 under this scheme. He would be able to afford the service of an elderly care centre and would spend \$30 000 of the money to pay the yearly charges.

(i) To which type of production does elderly care service belong? (1 mark)

(ii) If Mr. Chan moved to an elderly care centre, explain how the GDP of Hong Kong would be affected. (2 marks)

(b) To finance the scheme, there are different proposals which include:

Proposal A: increase the standard tax rate and the progressivity of salaries tax

Proposal B: use the fiscal reserves in the government

Discuss the effects of these two proposals on economic variables which include

(i) aggregate output,

(ii) income distribution, and

(iii) **ONE** other economic variable.

(10 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

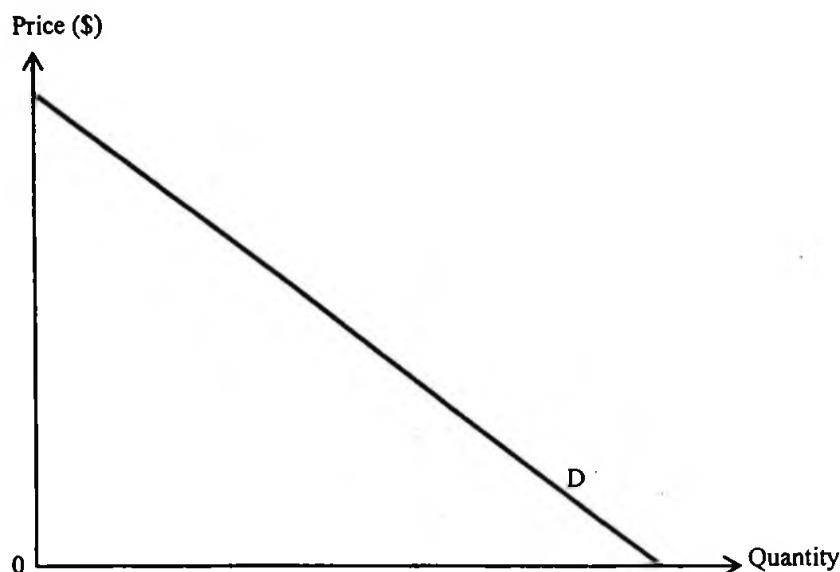
END OF SECTION B

Answers written in the margins will not be marked.

Section C (16 marks) Answer any ONE question.

14. Suppose HK ONLINE is the only Internet service provider (ISP) in some private housing estates in Hong Kong. Figure 4 shows the demand for this service.

Figure 4



- (a) An economist stated that once the Internet network has been installed, the marginal cost of providing the Internet service would be zero.
- With the aid of Figure 4, explain how HK ONLINE would set a price to maximise its profit under a uniform price arrangement. (4 marks)
 - Indicate the efficient output level as Q_E in Figure 4. (1 mark)
- (b) Explain whether the following pricing arrangements of HK ONLINE constitute price discrimination.
- Compared to the existing customers, new customers are charged a lower price for the same service plan. (3 marks)
 - Internet service subscribers pay less for the same service plan if they also subscribe to the TV service from HK ONLINE. (3 marks)
- (c) It is reported that HK ONLINE colludes with other ISPs. Other firms agree to let HK ONLINE be the sole service provider in some private housing estates. In return, HK ONLINE agrees not to compete with these firms in other estates.
- Which anti-competitive behaviour are the firms engaged in? List **TWO** possible motives for the firms. (3 marks)
 - Which conduct rule of the Competition Ordinance have these ISPs violated in the above case? Explain. (2 marks)

Answers written in the margins will not be marked.

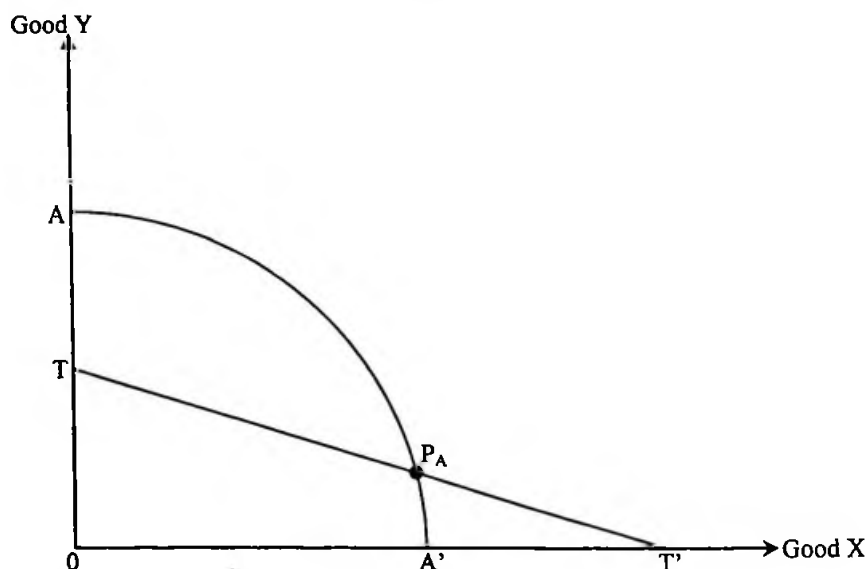
Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

15. Figure 5 shows the production possibility frontier AA' of Country A. P_A is the production point when there is no trade. TT' is the world price line of Good X.

Figure 5



- (a) Initially Country A did not engage in international trade.
- Indicate the consumption point of Country A as C_A in Figure 5. Explain your answer. (2 marks)
 - Show the opportunity cost of producing Good X in Figure 5. Explain whether Country A would have a comparative advantage in producing Good X. (Hint: you may add a straight line at P_A .) (4 marks)
- (b) Country A opens up to international trade.
- Draw the consumption possibility frontier (CPF) of Country A in Figure 5. Indicate the production point as P_T in Figure 5 and explain your answer in terms of marginal cost. (3 marks)
 - Indicate the consumption point as C_T in Figure 5. Why is Country A better off after trade? (2 marks)
 - Indicate the volume of imports as M in Figure 5. (1 mark)
- (c) The following table shows some data of Country A. Country A opened up to international trade after 2000.

Year	1990	2000	2010
Per-capita real GDP (in US\$)	2 950	3 000	3 600
Human development index (HDI)	0.67	0.68	0.68

With reference to the above table, explain how international trade affects

- the economic growth of Country A. (2 marks)
- the economic development of Country A. (2 marks)

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

END OF PAPER

Sources of materials used in this paper will be acknowledged in the booklet *HKDSE Question Papers* published by the Hong Kong Examinations and Assessment Authority at a later stage.

Answers written in the margins will not be marked.

Supplementary Answer Sheet

Question No. _____

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Answers written in the margins will not be marked.

Marking Schemes

Paper 1

Question No.	Key	Question No.	Key
1.	C (90%)	26.	A (52%)
2.	C (53%)	27.	B (76%)
3.	D (82%)	28.	C (76%)
4.	D (44%)	29.	D (60%)
5.	D (88%)	30.	A (69%)
6.	A (84%)	31.	B (36%)
7.	B (65%)	32.	A (61%)
8.	D (55%)	33.	C (43%)
9.	C (57%)	34.	C (85%)
10.	B (87%)	35.	A (57%)
11.	C (75%)	36.	C (64%)
12.	A (88%)	37.	B (66%)
13.	A (46%)	38.	B (68%)
14.	C (59%)	39.	D (51%)
15.	B (84%)	40.	B (45%)
16.	B (64%)	41.	B (48%)
17.	D (62%)	42.	C (57%)
18.	C (47%)	43.	B (65%)
19.	D (70%)	44.	A (69%)
20.	A (68%)	45.	D (40%)
21.	D (91%)		
22.	C (73%)		
23.	D (47%)		
24.	A (69%)		
25.	A (40%)		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

Paper 2

These documents were prepared for markers' reference. They should not be regarded as sets of model answers. Candidates and teachers who were not involved in the marking process are advised to interpret their contents with care.

The answers provided in the marking scheme are for reference only. They are not the only possible answers. Alternative answers are acceptable so long as they are well reasoned.

The examination emphasises the testing of the understanding of economic theories and the application of the knowledge of economic analysis to practical problems. Candidates are advised to study this document in conjunction with the examiner's comments on candidates' performance in this booklet.

For essay-type questions, candidates are expected to demonstrate an understanding of the question, an ability to deploy relevant knowledge of the subject in response to the questions, and to present their answers logically and coherently.

In questions asking for a specified number of reasons or examples etc. and a candidate gives more than the required number, the extra answers should not be marked. For instance, in a question asking candidates to provide two examples, and if a candidate gives three answers, only the first two should be marked.

The following symbols are used:

- / A single slash indicates an acceptable alternative within an answer.
- @ The number in front of the symbol indicates the marks for each point.
- max Maximum mark for the question/sub-question

Section A

1. (a) No. The value of the highest-valued option forgone (i.e., the first option) would drop. **Marks**
(2)
- (b) No. The working time in South Korea may be quite long, so that the first option would become less preferred. (3)

2. (a) (i) From the viewpoint of the employees:
possibility of getting higher income with more effort and/or better service **Marks**
(2)
- (ii) From the viewpoint of the employer:
lower cost of monitoring the performance of the waiters and/or higher incentives for the waiters to work harder and provide higher-quality service to the customers (2)

- (b) Reasons:
- The firm may have become too large in scale, so managerial efficiency starts declining.
 - The firm may have large outstanding loans, so the marginal cost of further borrowing increases.
 - The market may have saturated, leading to a rise in the marketing cost.
 - Any other relevant point
- [Mark the FIRST TWO reasons only.]

@2
max: 4

3. Oligopoly. **Marks**
(1)

Features:

- several dominant firms
 - entry barrier
 - interdependent pricing strategies
 - imperfect market information
 - Any other relevant point
- [Mark the FIRST TWO features only.]

@1
max: 2

4. (a) Positive externality. Restaurants in remote areas enjoy benefits from increased business due to the game developer's choice of hotspots locations without paying the developer. So external benefit exists and marginal social benefit is greater than marginal social cost. The number of existing hotspots near the restaurants is lower than that required by the efficiency level. **Marks**
(3)

- (b) The restaurants may pay the game developer to increase the hotspots nearby. (2)

Or
The game developer may charge the restaurants for placing more hotspots near them. or
(2)

5. Functions of money:

- Store of value:
As the value of the local currency drops in terms of foreign currency, its purchasing power in terms of the quantity of foreign goods and services would also fall.
- Standard of deferred payment:
As the value of the currency becomes highly volatile, the contracting cost of specifying future payments in terms of this currency would increase.
- Medium of exchange:
Some multinational firms may refuse to accept the currency if its value fluctuates too much.
[Mark the FIRST TWO functions only.]

Marks

@2
max: 4

6. (a) Fluctuation in consumption is smaller than that of income. Sales-tax revenue generated from consumption would fall less than income-tax revenue generated from income, thus stabilizing total government revenue, during economic downturn. **Marks**
(2)

Or
Introduction of a general sales tax broadens the tax base, so that the tax revenue collected would fluctuate less. or
(2)

- (b) Standard tax rate of salaries tax / profits tax / property tax (2)
as every taxpayer has to pay the tax amount in the same proportion to these different sources (salaries/profits/property) of his income.
[Mark the FIRST point only.]

7. (a) (i) Uncertain. Without knowing the total amount of resources of both countries, the productivity (output per unit of resource) for food and computer cannot be determined. Marks
(2)

- (ii) Total producible outputs in the two countries when they utilize all of their resources in producing either food or computer:

	Food	Computers
Country A	200	100
Country B	200	200

The opportunity cost of producing 1 unit of computer in Country A: (1)

= $200/100 = 2$ units of food

The opportunity cost of producing 1 unit of computer in Country B: (1)

= $200/200 = 1$ unit of food

Country B has a lower opportunity cost in producing computers, so it will produce and export computers. (1)

- (b) Terms of Trade (TOT) = $7/4 = 1.75$ F per unit of C (1)
 Per unit gain for Country B = $1.75 - 1 = 0.75$ F (1)
 Total gain = $0.75 \times 16 = 12$ F (1)

8. (a) $RRR = (\$1000 - \$250)/\$3000 = 0.25$

Marks
(1)

- (b) The change in deposits = $\$250 \times \frac{1}{0.25} = \1000 (2)

9. (a) Depression / trough	Marks (1)
(b) A reduction in interest rate would result in a rise in investment and/or consumption. Aggregate demand would thus increase, and so would aggregate output as well.	(3)
(c) Consistent. When interest rate dropped in 2009, GDP growth rate increased and unemployment rate dropped.	(1) (3)
[Alternatively, it may be argued that the data is not consistent with the answer in (b)—as the US actually cut its interest rate in 2008, but GDP growth was still negative and the unemployment rate was still rising in 2009.] ¹	
(d) Subsidizing research and development / importation of labour / investment in infrastructures could increase potential output or production capacity of the economy as a whole in the long run, and thus shift LRAS rightward. [Mark the FIRST policy only.]	(2)

¹ The long and variable time lag of monetary policy is not required.

Section B

10. (a) – Shares of a listed company are freely transferrable while shares of a private limited company are not.
 – A listed company is required to disclose its accounting information to the public while a private limited company is not.
 – A listed company can issue shares and bonds to the general public while a private limited company cannot.
 [Mark the FIRST TWO points only.]

Marks

@1
max: 2

(b) Arguments supporting the suggestion:

- Government will have a better control of the train fare, and it can freely reduce the fare to relieve the burden of the passengers
 - If MTR is fully owned and supported by the government, that would make it easier for MTR to get loans to fund its operation or investment.
- [Mark the FIRST point only.]

@2
max: 2

Arguments opposing the suggestion:

- It may lower the efficiency of MTR's management and reduce its sensitivity to market (price) signals.
 - The money involved in the purchase of MTR is substantial. The government may have better alternative uses of the money, such as education and medical services.
- [Mark the FIRST point only.]

@2
max: 2

(c) No.

Verbal elaboration:

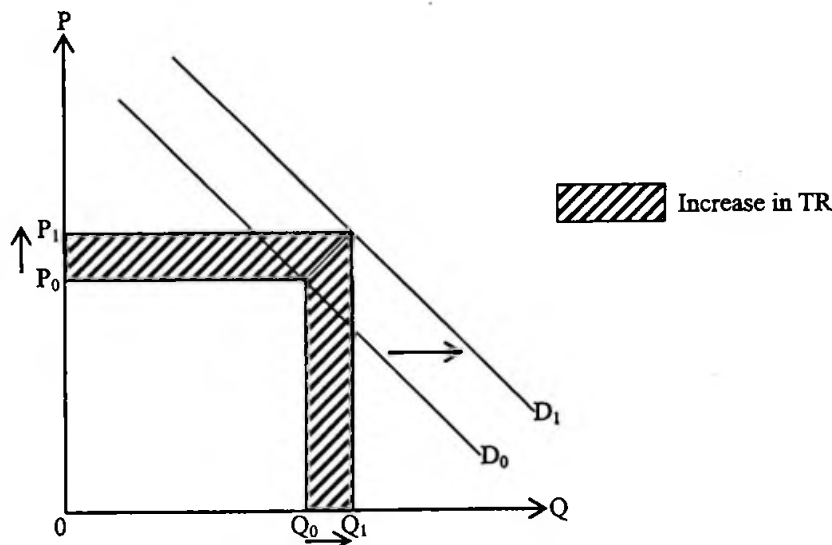
- There was a rise in demand.
- Both the price and the quantity transacted have increased.
- Total revenue has increased.

(1)
(2)
(2)
(1)
max: 7

Illustrate in the diagram:

- Rightward shift in the demand curve
- Higher Price and Quantity
- Higher Total Revenue

(1)
(1)
(1)



Marks

11. (a) Verbal elaboration:

The condition is that the elasticity of demand for education services is lower than the elasticity of supply.

(2)

Illustrate in the diagram:

- Parallel downward shift of supply curve due to the per unit subsidy
- Correct position of New Price (P_1)
- Correct position of New Quantity (Q_1)
- Correct position of producer benefit and consumer benefit
- Consumer benefit > producer benefit

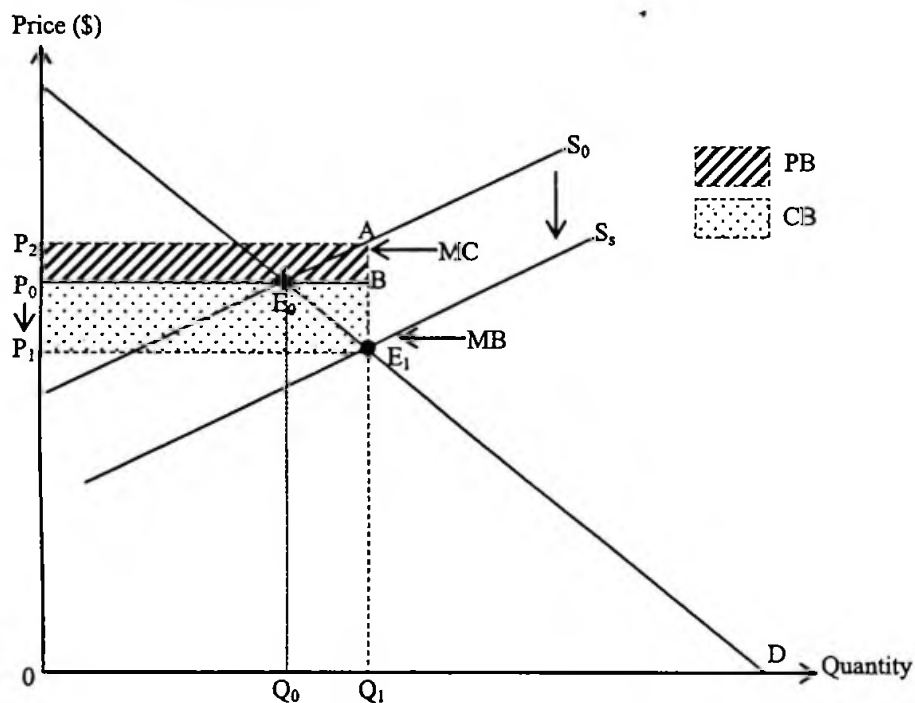
(1)

(1)

(1)

(1)

(1)



(b) Verbal elaboration:

At Q_1 , marginal cost is larger than marginal benefit.

(1)

Illustrate in the diagram:

- Correct position of marginal benefit
- Correct position of marginal cost

(1)

(1)

- (c) Yes. Subsidizing education is a measure to equalize opportunities, so the poor will not be deprived of university education due to financial constraint. Education could also raise their future income, thus reducing income inequality over generations.

(3)

12. (a) The geographical mobility of low-skilled workers from the EU would be lowered—because the visa requirement would increase the cost for those EU workers to go to work in the UK.

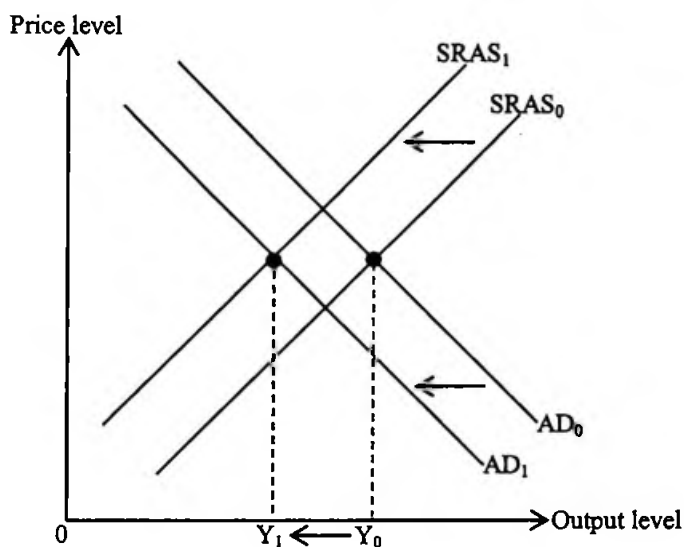
Marks
(3)

(b) Verbal elaboration:

- The new visa requirement would increase labour cost for the British firm owners, resulting in a drop in SRAS. (2)
- Political uncertainty would result in a drop in investment from the global investors and thus a fall in AD. (2)
- Aggregate output would thus drop. (1)

Illustrate in the diagram:

- leftward shift of AD curve (1)
- leftward shift of SRAS curve (1)
- lower output (1)



(c) Components of current account:

- Invisible trade: the increase in cost of travel would result in a fall in the number of British citizens visiting the EU and hence the import of services.
- Factor income (primary income): with fewer British workers working in the EU, there would be a drop in total wage payment to such workers.
- Unilateral transfer (secondary income): with fewer workers working in the EU, there would be a drop in their remittance back to Britain.

} @2
max: 4

13. (a) (i) Tertiary production.	Marks (1)
(ii) GDP would rise, as charges for the service of the elderly care centre is regarded as consumption expenditure by Mr Chan on final goods and services.	(2)
(b) (i) <u>Proposal A's effect on aggregate output:</u> An increase in salaries tax would reduce AD via a drop in disposable (after-tax) income and thus consumption. As a result, aggregate output would fall. [An increase in salaries tax may also reduce SRAS by creating a disincentive effect on labor.]	(4)
<u>Proposal B's effect on aggregate output:</u> There would be no extra effect on aggregate output as a component of AD/AS does not change.	(2)
(ii) <u>Proposal A's effect on income distribution:</u> Salaries tax payers (higher-income group) would pay more taxes while non-tax payers (lower-income group) would not be affected. <u>Or</u> High-income tax payers pay more, low-income tax payers pay less. The after-tax income inequality would thus be reduced.	(2) (2) (1) } max: 3
<u>Proposal B's effect on income distribution:</u> – There will be no extra effect on current tax payers, so the income inequality is unaffected. – Reduction of fiscal reserves may result in a tax increase in the future, so future tax payers (mainly the younger portion of the population) may have to pay more taxes, thus <i>increasing income inequality between generations</i> .	(2) (2) } max: 2
(iii) <u>Proposal A's effect on other variables:</u> – Price level would drop as AD drops (while there is no such an effect generated by proposal B). – Unemployment may increase as AD drops (while there is no such an effect generated by proposal B). – Any other relevant point	@2 max: 2
<u>Proposal B's effect on other variables:</u> – A worsening of the government's budgetary position (due to a drain on fiscal reserves) may imply tax increase in the future. (No such effect arises under proposal A.) – Business confidence may be weakened. Expecting tax increases in the future (due to the problem of fiscal sustainability), which would reduce their after-tax profits, business firms may choose to cut down their investment. (No such effect arises under proposal A.) – Any other relevant point	@2 max: 2

Note: The maximum marks for part (b) is 10.

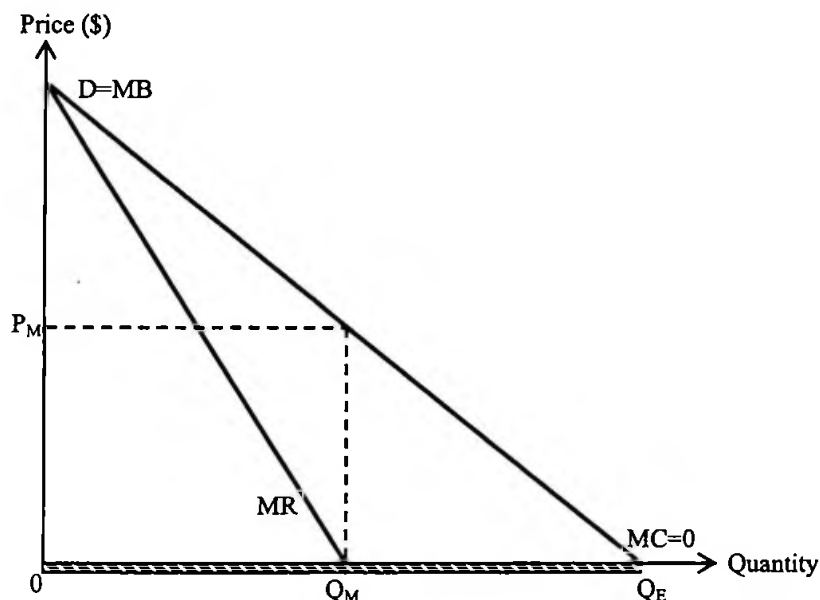
Section C

Marks

14. (a) (i) Illustrated in the diagram:

- Correct position of MR
- Correct position of Q_M
- Correct position of P_M

(1)
(1)
(1)



Verbal elaboration:

HK ONLINE would produce at a quantity where $MR = MC = 0$.

(1)

(ii) – Correct position of Q_E

(1)

(b) (i) Yes.

Different consumers (new and existing customers) are charged different prices for the same services produced under the same cost.

(3)

(ii) No.

A lower price is charged for the internet service because, when combined with TV service, its marginal cost of production (including, administration cost, marketing cost, installation cost, etc.) would be lowered.

(3)

(c) (i) Market sharing / market allocation.

(1)

Motives:

- Firms would face less competition within their assigned markets.
- They can raise prices and make more profit in their own assigned markets.
- By focusing on their assigned markets alone, firms can lower their marketing cost.

[Mark the FIRST TWO motives only.]

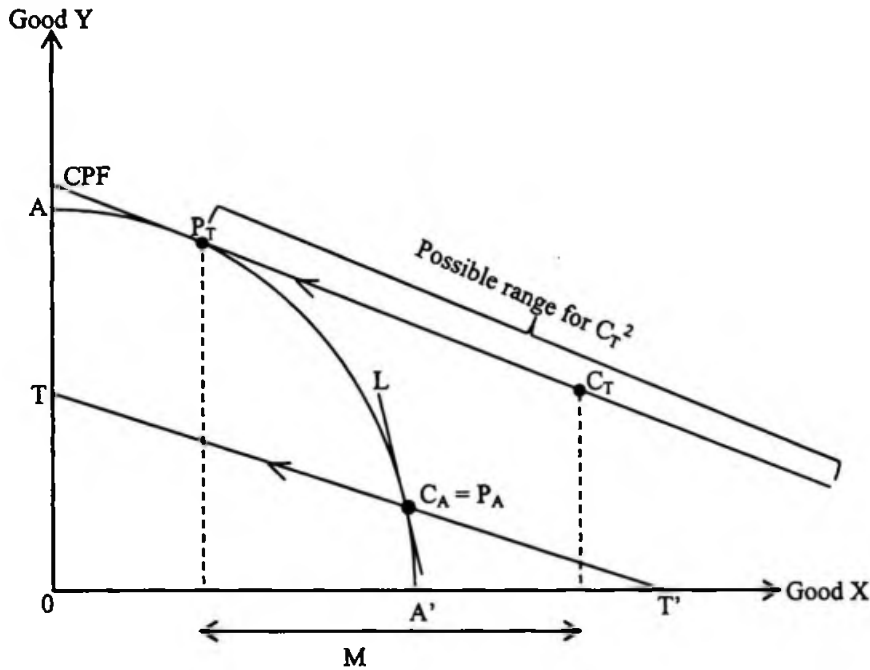
} @1
max: 2

(ii) The first conduct rule. Because this is a case of an anti-competitive agreement.

(2)

15.

Marks



- (a) (i) Illustrated in the diagram:
correct position of $C_A =$ production point P_A (1)

Verbal elaboration:
Without trade, Country A can only consume its own production. (1)

- (ii) Illustrated in the diagram:
Correct position of the straight line (L) (1)

Verbal elaboration:

- Slope of L is the marginal cost of Good X. (1)
- L is steeper than TT' . (1)
- That means marginal cost of producing Good X is higher than the world price of Good X. (1)
- So Country A did not have a comparative advantage in producing Good X. (1)

} max: 3

² Knowledge of convex indifference curves is not required.

	Marks
(b) (i) <u>Illustrated in the diagram:</u>	
– Correct position of P_T	(1)
– Correct position of CPF	(1)
<u>Verbal elaboration:</u>	
– Country A would produce at P_T where $TOT = \text{domestic marginal cost of production}$.	(1)
(ii) <u>Illustrated in the diagram:</u>	
– Correct position of C_T	(1)
<u>Verbal elaboration:</u>	
– Country A can consume at a point which is unattainable from local production before trade.	(1)
(iii) <u>Illustrated in the diagram:</u>	
– Correct position of M	(1)
(c) (i) – enhance economic growth (as shown by higher levels or positive rates of growth) of per-capita real GDP because	(1)
external trade could increase aggregate demand (through exports) and hence real GDP.	(1)
(ii) – no change in economic development (as reflected by the same level of HDI) because	(1)
more people may leave school earlier in order to take part in trading activities, thus decreasing the average number of years of schooling, while GDP rises as a result of trade.	(1)
<u>Or</u>	<u>or</u>
pollution (as a by-product) may become more serious as production is increased after trade /	(1)
new disease or virus brought in by foreigners may shorten the life expectancy at birth of the local people.	

Candidates' Performance

Paper 1

Candidates' overall performance was good. The mean score of this paper was 29 out of 45. The following questions deserve special attention.

Q.13 Which of the following is **INCONSISTENT** with the law of demand?

- *A. The abolishment of per unit import tariff on garment results in a rise in the quality of imported garments. (46%)
- B. Live fishes sold in a market near the fish farm have a higher price than frozen fishes sold in a faraway market. (12%)
- C. The ratio of high-quality white wine sold to total white wine sold remains unchanged when the government imposes an ad valorem tax on white wine. (32%)
- D. Developers tend to build higher-quality housing units on a piece of land with a good view. (10%)

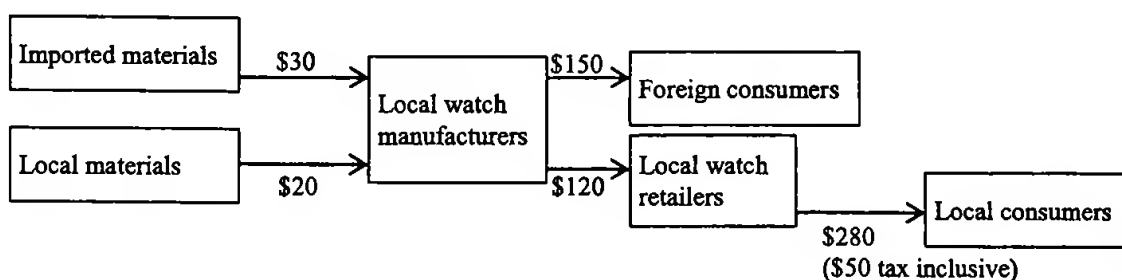
An ad valorem tax is a percent tax on the price of a good that reduces its supply and its quantity transacted in the market. But unlike a per-unit tax, such a tax does not alter the relative price of the high-quality good in terms of the low-quality one. Other things being equal, the quantities sold of both high-quality and low-quality white wine would decrease by the same proportion and the ratio of the former to the total amount of white wine sold would remain constant.

Q.18 Suppose the government imposed an effective rent control on living units. Which of the following would **LEAST** likely occur?

- A. There would be a shortage of living units. (10%)
- B. Black market would emerge. (32%)
- *C. Poor people would be able to rent a living unit more easily. (47%)
- D. Landlords would have a lower incentive to renovate their living units for rent. (11%)

Under an effective price ceiling, there would exist a shortage of (excess demand for) living units. This would likely result in a black market (not necessarily in the physical sense), where illegal contracts involving higher-than-controlled rental or contracts involving side benefits to the landlord may exist. Candidates may have erroneously thought that the price control would help the poor get more resources: As price competition was weakened, other forms of non-price competition would be used to determine the resource allocation. This may or may not be beneficial to the poor.

Q.25 The following diagram shows a production chain of watches in an economy:



The contribution of the local watch manufacturers to the economy's GDP at market prices is _____.

- *A. \$220 (40%)
- B. \$240 (11%)
- C. \$350 (16%)
- D. \$400 (33%)

Some candidates mis-interpreted the question and thus mis-calculated the contribution of the whole production chain of watches, probably by recalling answers to similar questions from past papers. Candidates are advised to read the question carefully.

Q.31. The following table shows the balance sheet of a banking system.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	900
Loans	600		

Suppose the public does not hold cash and the required reserve ratio is reduced to 25%. After deposit creation, the amount of loans in the banking system is \$750. Which of the following statements about the banking system is correct?

- A. The money supply increases by \$300. (31%)
- *B. The actual banking multiplier is 3.5. (36%)
- C. The deposits increase by \$600. (11%)
- D. Bank reserves are \$450. (22%)

This question does not assume that banks do not hold excess reserves. As the banking system might not be fully loaned up, the required reserve ratio could be used to calculate the maximum possible amount of deposits (and the corresponding money supply), but not the actual one. On the other hand, the amount of loans could be used to deduce the actual amount of deposits and the actual banking multiplier as reserves in the banking system should be constant.

Paper 2

Section A

Q. number	Performance in General
1	Fair. A common mistake made was that some candidates misunderstood the question as asking about the cost of working in a firm located in South Korea. Some weaker candidates mis-stated that the cost of the 2 nd option would be the 3 rd option. Most of those who understood the gist of the questions performed well in part (a) and correctly pointed out that the reason for a drop in cost is the drop in value of the 1 st option. In part (b), many candidates said that the value of the 2 nd option would drop. This deserved partial credit. Some candidates with a strong understanding of the concept of opportunity cost were able to provide proper reasons why the value of the 1 st option may drop (or why the value of the 3 rd option may even rise so that it is more preferred) to explain why the cost did not necessarily remain unchanged.
2(a)	Excellent. A minority of candidates confused the viewpoints of the employees and the employer.
2(b)	Fair. Many candidates were unable to differentiate between the concepts of total cost and average cost, so their answers only explained why (total) cost increases when output increases. Better candidates correctly stated the type of diseconomies of scale. However some failed to elaborate clearly and accurately. Weaker candidates were under the misapprehension that this was an example of economies (rather than diseconomies) of scale.
3	Good. A small number of candidates had difficulty in accurately spelling the term "oligopoly".
4(a)	Satisfactory. Most candidates demonstrated that they understood that there were positive externalities involved. However, many mistakenly thought that the existence of external benefits was due to a lack of compensation to the gamers, rather than to the game developer. Some candidates mistook it as a case of over-production instead of under-production, while others failed to apply the concept of marginal social benefits/costs in their answers.
4(b)	Fair. Most candidates who demonstrated that they understood that it was a case of positive externality in part (a) correctly pointed out that the restaurants should pay compensation to the game developer. However, some of them mistakenly thought that the gamers should be paid. A minority of candidates talked about how the government could intervene (e.g., by providing a subsidy to the game developer). This was irrelevant to the question.
5	Good. Many candidates were aware of how an unstable and depreciating currency would dampen the store-of-value and standard-of-deferred-payment functions of money. A small number of candidates provided irrelevant answers, such as the functions of price or the features of good money.
6(a)	Fair. Many candidates were able to point out that general sales tax revenue is more stable than income tax revenue, but some failed to explain the reason, i.e., consumption is less volatile than income over the business cycle.
6(b)	Satisfactory. A common mistake was to state salaries tax as the answer without specifying the standard tax rate.
7(a)	Excellent. A minority of candidates mistakenly thought that both countries have the same amount of resources and thus reached the wrong conclusion in part (i). A few candidates lost marks in part (b) as they failed to show the correct calculation of the opportunity costs of production in the two countries.
7(b)	Good. Some candidates were not aware of the difference between per-unit gain from trade and total gain from trade.

Q. number	Performance in General
8(a)	Excellent.
8(b)	Excellent. A minority of candidates overlooked the key word “change” in the deposits and thus failed to reach the correct answer.
9(a)	Good. The only problem was the inaccuracy in spelling.
9(b)	Good. A majority of candidates correctly deduced the effect of a reduction in the interest rate on consumption and/or investment and thus aggregate demand and output. A small number of candidates argued that there was an increase in SRAS without providing a concrete elaboration.
9(c)	Fair. Common errors made by those who failed to get the correct answer included: – confusing the two sets of data shown in Figure 2; – mis-interpreting the word “consistent”; – mis-quoting the data in Figure 2, e.g., referring to unemployment and GDP instead of unemployment rate and GDP growth rate in their answers.
9(d)	Good. Most candidates were able to suggest relevant policy to boost output. A minority of candidates wrongly argued that policies stimulating aggregate demand could help increase LRAS.

Section B

Q. number	Performance in General
10(a)	Good.
10(b)	Satisfactory. Most candidates managed to provide sound arguments for and against the suggestion for the government to wholly own MTRC. The following is a list of mistakes and omissions: – failure to assess the suggestion from the perspective of society; – mis-labelling arguments “for” the suggestion under the heading of arguments “against”, or vice versa; – failure to support arguments with proper elaboration in economic terms, e.g., they mentioned that the government could adopt policies to benefit consumers after taking over MTRC or that the government could resolve market failure, but they were unable to substantiate their arguments.
10(c)	Fair. Many candidates failed to realise that both price and quantity transacted had increased. They simply recalled the definition of inelastic demand and tried to match the data with the definition without taking account of the increase in total passengers boarding. Some candidates were able to give a nice interpretation of the figures and were aware of the increase in both price and quantity transacted, which contradicts the negative relation between price and quantity demanded in the case of inelastic demand. The better candidates identified an increase in demand as the reason and illustrate the case in a well-labelled diagram.
11(a)	Good. Most candidates were able to indicate correctly the shift of supply as a result of education subsidy, but only some managed to provide a comprehensive illustration to account for the difference in shares of subsidy benefit by pointing out that supply is more elastic than demand. Some candidates were under the misapprehension that elastic supply or inelastic demand alone was sufficient for the students to enjoy a larger share of subsidy benefit than the private universities. Others wrongly compared consumer surplus and producer surplus, instead of consumer share and producer share of the subsidy benefit.

Q. number	Performance in General
11(b)	Satisfactory. Some candidates were able to indicate clearly, either in the diagram or in their verbal elaboration, that marginal cost exceeded marginal benefit at the after-subsidy equilibrium quantity. Some others committed the following mistakes: – believing that the after-subsidy supply curve is the marginal cost curve and wrongly concluding that the after-subsidy equilibrium was efficient; – mis-labelling the area of deadweight loss at a wrong location.
11(c)	Good. Most candidates were able to explain the effect of subsidising education on equalising opportunities and/or equalising future income. Some candidates failed to emphasise that the impact of the policy fell mainly on the low-income group.
12(a)	Good. Many candidates were able to explain how Brexit would lower the geographical mobility of low-skilled workers from the EU. A small number of candidates missed the term “geographical”, and a few failed to accurately state the direction of the effect.
12(b)	Satisfactory. Most candidates made a good attempt to analyse the effect on aggregate output by using appropriate tools. The following problems were identified: – failure to relate the change of AD to the global investors’ view and the change in SRAS to the British firm owners’ view; – mislabelling of the y-axis as \$, SRAS as S, AS curves as D, AD curves as SRAD; – failure to indicate correctly the new equilibrium price level and aggregate output at the intersection of the new SRAS and AD curves; – mistaking quantity transacted for aggregate output.
12(c)	Fair. Similar to the questions in the past, some candidates were not familiar with the components of the current account in the BOP, and failed to provide clear and accurate answers as a result. Some candidates did not start their analysis from the standpoint of Britain, and thus got the direction of invisible trade and factor income wrong. Another common mistake was to consider labour services offered by British citizens in EU countries as visible trade. Some weaker candidates mistook transfer payment for current transfer and the invisible account for invisible trade account.
13(a)(i)	Good. Most candidates were able to identify the type of production in question, but some of them failed to spell the word “tertiary” correctly.
13(a)(ii)	Good. Most candidates were able to point out that GDP would rise. A few candidates wrongly regarded \$30000 as a transfer payment and concluded that there would not be any change in HK’s GDP.
13(b)	Satisfactory. Most candidates were able to apply economic concepts and theories correctly to identify the effects of the two proposals. Their performance in this particular question has shown improvement when compared to similar questions last year. The following contains a list of mistakes for both parts that deserve attention: – failure to focus their analysis on the proposals to finance the scheme, but devoting much of their effort to elaborate on the effects of the transfer payment instead; – poor organisation of answers, without clear indication as to which of their arguments refers to which proposal. Part (i): The performance was good in answers related to proposal A. The performance was poor in answers related to proposal B. Many candidates did not realise that no extra tax would be charged, so that there would be no extra effect on aggregate output. In their answers, many candidates tried to explain the effect of transfer payment on aggregate output, which is not what the question is asking.

Q. number	Performance in General
	<u>Part (ii):</u> The performance was good in answers related to proposal A. Many candidates had a good understanding of the concept of income inequality, and were able to reach their conclusions by examining the effect of the change in the tax structure on the high-income group and the low-income group respectively. The performance was poor in answers related to proposal B. Most candidates focused on the transfer payment and reach an irrelevant conclusion. A minority of candidates made use of their knowledge outside of the textbook on this topic and explained that future generations may be worse off. <u>Part (iii):</u> The performance was fair. Many of those candidates who attempted to analyse an economic variable other than output and income distribution gave a correct answer with appropriate reasons, such as a decreasing price level for a drop in AD and a rising unemployment for a drop in AD, etc.

Section C

Q. number	Popularity	Performance in General
14(a)(i)(ii)	57%	Fair. Some candidates ignored the important information of zero marginal cost, and therefore gave a wrong answer. Some others wrongly labelled the marginal cost curve as a supply curve. Some mis-used Q_E to represent the equilibrium output instead of efficient output. In their verbal elaboration, some candidates mistakenly stated the profit-maximising condition as $MB=MC$, $MB=MR$ or MC =marginal return.
14(b)(i)		Good. Most candidates were able to define price discrimination correctly, but not all of them could explain how the definition is related to the cases given. In part (i), a common mistake was to view the lower price offered to new customers as a strategy to attract these new customers rather than price discrimination. A few candidates inaccurately used the terms “first-degree / second-degree / third-degree price discrimination” in their answers, thus showing poor understanding of the concepts of price discrimination.
14(b)(ii)		Fair. Even though many candidates were able to see that it is not a case of price discrimination, some of them put too much emphasis on the different services involved in their answers. They failed to explain their answers in terms of the lower cost involved when subscribing to two kinds of services.
14(c)(i)(ii)		Good. Most candidates identified the type of anti-competitive behaviour and correctly stated that it violated the first conduct rule. However, some candidates failed to provide a clear explanation and to use the keyword “agreement”.
15(a)(i)	43%	Excellent. Most candidates were able to indicate the correct position of C_A and give a proper explanation.
15(a)(ii)		Satisfactory. Some candidates failed to draw a line tangent to P_A and were thus unable to show the opportunity cost of producing Good X correctly.
15(b)(i)(ii)(iii)		Fair. Mistakes in the graphical illustrations included: – failure to draw a CPF parallel to TT'; – wrong labelling of the tangency point between AA' and CPF as the consumption point C_T; – mis-representation of the volume of imports as the gap between P_A and C_T, or between P_A and P_T, or confusing volume of imports with that of exports. Mistakes in the verbal explanations include: – failure to use the equilibrium condition $MC=TOT$ to determine the production point; – failure to match the explanation of the post-trade better-off Country A with the correct consumption point C_T.
15(c)(i)(ii)		Satisfactory. In part (i), many candidates correctly used the per-capita real GDP data to conclude that trade could enhance economic growth, but only some were able to provide proper, trade-related reasons. In part (ii), a small number of candidates wrongly drew on the data of 1990 and 2000. Among candidates who were able to give the correct standpoint, only some managed to provide logical reasons to explain why the HDI would remain unchanged despite of a rise in per-capita real GDP.

General comments and recommendations

1. Some candidates lack a thorough understanding of basic economic concepts and principles, especially when applying them to solve hypothetical or real-life problems. Candidates should strengthen their analytical skills instead of simply regurgitating concepts and theories.
2. Some candidates do not always read the questions carefully. Candidates should devote special attention to the assumptions and conditions laid down in the questions to avoid giving irrelevant answers.
3. Some candidates have difficulty in presenting their answers in a precise way. Candidates should equip themselves with better language abilities as well as graphical skills.
4. Some candidates lack awareness of current economic issues in our society. Candidates should pay more attention to economic news.
5. Some candidates lack skills to extract information from tables and graphs as well as to draw well-labelled diagrams. Candidates should pay special attention to the headings, labels and axes as they are essential to our understanding of the data presented therein.